Your equity would be down to $2,000. Before that point, the broker would have requested more collateral. If you didn't put it up, he would cover the sale by buying the stock and you would be out.

The only way you can lose an infinite amount is to keep advancing more and more money, which is like pyramiding your loss. *Remember the golden rule, "The trend is your friend. Don't fight the tape."* If you have a loss like that, get out. Nobody's holding a gun to your head for more money. Only a fool would keep putting up money on a losing short sale like that.

On the brighter side, your profit potential in a short sale is not limited to 100% profit. It is virtually unlimited. For example, you short 100 shares at $50 and the stock falls to $25. That's a $2,500 profit for you. If you started with $5,000 in equity, your total equity in the account is now $7,500. At this point the stock is trading at $25, which is $2,500 per 100 shares. To maintain 100% equity behind your position, you only need $2,500 in the account.

You then pyramid (without using margin as such), selling short an additional 200 shares. You now have 300 shares short, which would require the $7,500 backing. If that stock were to go to zero, you'd make an additional $7,500 in profit. So your total profit would be $10,000 on a $5,000 investment, which is 200 percent.

But it doesn't have to stop there. Suppose the stock then drops from $25 to $10. Now you have 300 shares of a $10 stock. The total capital you need in the account without margin is $3,000. Remember, you have $7,500 in capital. On the drop from $25 to $10 you've made 15 points, or $1,500 per hundred shares, which is $4,500 in profit added to your $7,500 equity. That gives you $12,000 of equity when the stock is at 10. You're only short 300 shares. You could then short another 900 shares at $10 without putting up any more money or without using margin.

Let's say you did that. Now, at $10 you're short 1,200 shares. What you're doing is following the tape. You're